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Maintenance

[Glossary Term Usage](#) | See Topic(s): [985](#)

Activities undertaken after the product is available for general release to customers to correct errors or keep the product updated with current information. Those activities include routine changes and additions.

Maintenance Costs

[Glossary Term Usage](#) | See Topic(s): [944](#)

Costs associated with maintaining records relating to insurance contracts and with the processing of premium collections and commissions.

Make-Whole Provision

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [815](#)

A contractual option that gives a debtor (that is, an issuer) the right to pay off debt before maturity at a significant premium over the fair value of the debt at the date of settlement.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [815](#)

A cash payment to a counterparty if the shares initially delivered upon settlement are subsequently sold by the counterparty and the sales proceeds are insufficient to provide the counterparty with full return of the amount due. While the exact terms of such provisions vary, they generally are intended to reimburse the counterparty for any losses it incurs or to transfer to the entity any gains the counterparty recognizes on the difference between the following:

- a. The settlement date value
- b. The value received by the counterparty in subsequent sales of the securities within a specified time after the settlement date.

Management

[Glossary Term Usage](#) | See Topic(s): [820](#) , [850](#)

Persons who are responsible for achieving the objectives of the entity and who have the authority to establish policies and make decisions by which those objectives are to be pursued. Management normally includes members of the board of directors, the chief executive officer, chief operating officer, vice presidents in charge of principal business functions (such as sales, administration, or finance), and other persons who perform similar policy making functions. Persons without formal titles also may be members of management.

Management and General Activities

[Glossary Term Usage](#) | See Topic(s): [958](#)

Supporting activities that are not directly identifiable with one or more program, fundraising, or membership-development activities.

Mandatorily Redeemable Financial Instrument

[Glossary Term Usage](#) | See Topic(s): [480](#) , [815](#)

Any of various financial instruments issued in the form of shares that embody an unconditional obligation requiring the issuer to redeem the instrument by transferring its assets at a specified or determinable date (or dates) or upon an event that is certain to occur.

Market

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [926](#)

A distribution channel within a certain territory. Examples of markets include theatrical exhibition, home video, pay television, free television, and the licensing of film-related products.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [330](#)

As used in the phrase lower of cost or market, the term market means current replacement cost (by purchase or by reproduction, as the case may be) provided that it meets both of the following conditions:

- a. Market shall not exceed the [net realizable value](#)
- b. Market shall not be less than net realizable value reduced by an allowance for an approximately normal profit margin.

Market Approach

[Glossary Term Usage](#) | See Topic(s): [820](#)

A valuation approach that uses prices and other relevant information generated by market transactions involving identical or comparable (that is, similar) assets, liabilities, or a group of assets and liabilities, such as a business.

Market Condition

[Glossary Term Usage](#) | See Topic(s): [718](#)

A condition affecting the exercise price, exercisability, or other pertinent factors used in determining the fair value of an award under a share-based payment arrangement that relates to the achievement of either of the following:

- a. A specified price of the issuer's shares or a specified amount of intrinsic value indexed solely to the issuer's shares
- b. A specified price of the issuer's shares in terms of a similar (or index of similar) equity security (securities). The term similar as used in this definition refers to an equity security of another entity that has the same type of residual rights. For example, common stock of one entity generally would be similar to the common stock of another entity for this purpose.

Market Participants

[Glossary Term Usage](#) | See Topic(s): [321](#) , [326](#) , [350](#) , [805](#) , [820](#) , [832](#) , [842](#)

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

- a. They are independent of each other, that is, they are not [related parties](#), although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms
- b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary
- c. They are able to enter into a transaction for the asset or liability
- d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

Market Risk

[Glossary Term Usage](#) | See Topic(s): [820](#)

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises the following:

- a. [Interest rate risk](#)
- b. [Currency risk](#)
- c. [Other price risk](#).

Market Risk Benefit

[Glossary Term Usage](#) | See Topic(s): [220](#) , [815](#) , [944](#)

 PENDING CONTENT	
 PENDING CONTENT	

Transition Date: P December 16, 2022; N December 16, 2024 | **Transition Guidance:** [944-40-65-2](#)

A contract or contract feature in a long-duration contract issued by an insurance entity that both protects the contract holder from other-than-nominal capital market risk and exposes the insurance entity to other-than-nominal capital market risk.

Market Value Annuity ^

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [815](#)

A contract that provides for a return of principal plus a fixed rate of return if held to maturity, or alternatively, a market-adjusted value if the surrender option is exercised by the contract holder before maturity. The market-adjusted value is typically based on current interest crediting rates being offered for new market value annuity purchases.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

An annuity that provides for a return of principal plus a fixed rate of return (that is, book value) if held to maturity or, alternatively, a market-adjusted value if surrendered before maturity.

Market-Corroborated Inputs ^

[Glossary Term Usage](#) | See Topic(s): [820](#)

Inputs that are derived principally from or corroborated by observable market data by correlation or other means.

Market-Related Value of Plan Assets ^

[Glossary Term Usage](#) | See Topic(s): [715](#)

A balance used to calculate the expected return on plan assets. The market-related value of plan assets is either fair value or a calculated value that recognizes changes in fair value in a systematic and rational manner over not more than five years. Different ways of calculating market-related value may be used for different classes of assets (for example, an employer might use fair value for bonds and a five-year-moving-average value for equities), but the manner of determining market-related value is required to be applied consistently from year to year for each asset class. For a method to meet the criteria of being systematic and rational, it must reflect only the changes in the fair value of plan assets between various dates.

Marketing Cooperative ^

[Glossary Term Usage](#) | See Topic(s): [905](#)

A cooperative that markets the products (crops, livestock, and so on) produced by its patrons. Marketing cooperatives provide means for agricultural producers to process and sell their products.

Measurement Date

[Glossary Term Usage](#) | See Topic(s): [718](#)

The date at which the equity share price and other pertinent factors, such as expected volatility, that enter into measurement of the total recognized amount of compensation cost for an award of share-based payment are fixed.

Medicare Reimbursement Rates

[Glossary Term Usage](#) | See Topic(s): [715](#)

The health care cost reimbursements expected to be received by retirees through Medicare as mandated by currently enacted legislation. Medicare reimbursement rates vary by the type of benefits provided.

Medium

[Glossary Term Usage](#) | See Topic(s): [958](#)

A means of mass communication, such as direct mail, direct response advertising, or television.

Member of an Agricultural Cooperative

[Glossary Term Usage](#) | See Topic(s): [905](#)

A member of an agricultural cooperative is an owner-[patron](#) who is entitled to vote at corporate meetings of an [agricultural cooperative](#).

Membership Development Activities

[Glossary Term Usage](#) | See Topic(s): [958](#)

Membership development activities include soliciting for prospective members and membership dues, membership relations, and similar activities. However, if there are no significant benefits or duties connected with membership, the substance of membership development activities may, in fact, be fundraising.

Merger Date

[Glossary Term Usage](#) | See Topic(s): [954](#) , [958](#)

The date on which the merger becomes effective.

Merger of Not-for-Profit Entities

[Glossary Term Usage](#) | See Topic(s): [740](#) , [805](#) , [815](#) , [954](#) , [958](#)

A transaction or other event in which the governing bodies of two or more not-for-profit entities cede control of those entities to create a new not-for-profit entity.

MGDB

NO INCOMING LINKS

See [Minimum Guaranteed Death Benefit](#).

Mineral Interests

[Glossary Term Usage](#) | See Topic(s): [932](#)

See [Properties](#).

Mineral Resource Assets

[Glossary Term Usage](#) | See Topic(s): [255](#)

Assets that are directly associated with and derive value from all minerals that are extracted from the earth. Such minerals include oil and gas, ores containing ferrous and nonferrous metals, coal, shale, geothermal steam, sulphur, salt, stone, phosphate, sand, and gravel. Mineral resource assets include mineral interests in properties, completed and uncompleted wells, and related equipment and facilities and other facilities required for purposes of extraction. This definition does not cover support equipment because that equipment is included in the property, plant, and equipment for which current cost measurements are required.

Mineral Rights

[Glossary Term Usage](#) | See Topic(s): [805](#) , [930](#)

The legal right to explore, extract, and retain at least a portion of the benefits from mineral deposits.

Mini-Vacation

[Glossary Term Usage](#) | See Topic(s): [978](#)

A marketing program under which a time-share developer offers, for a fee, a short (typically, two to three days) visit to a destination where the developer operates a project. The developer typically subsidizes the fee to the customer for the mini-vacation in exchange for the customer attending a sales presentation at the project. The mini-vacation may include room accommodations, entertainment tickets, and similar items of value. The customer typically accepts the offer of the fee subsidy in exchange for his or her attending the sales presentation.

Minimum Guarantee

[Glossary Term Usage](#) | See Topic(s): [928](#)

An amount paid in advance by a licensee to a licensor for the right to sell or distribute records or music.

Minimum Guaranteed Death Benefit

[Glossary Term Usage](#) | See Topic(s): [944](#)

A feature in an annuity, life insurance, or similar contract that provides that in the event of an insured's death, the beneficiary (or insurer in the case of a reinsurance contract) will receive the higher of the current account balance of the contract or another amount defined in the contract.

Minimum Lease Payments

[Glossary Term Usage](#) | See Topic(s): [842](#)

Minimum lease payments comprise the payments that the lessee is obligated to make or can be required to make in connection with the leased property, excluding both of the following:

Contingent rentals

Any guarantee by the lessee of the lessor's debt and the lessee's obligation to pay (apart from the rental payments) executory costs such as insurance, maintenance, and taxes in connection with the leased property.

If the lease contains a bargain purchase option, only the minimum rental payments over the lease term and the payment called for by the bargain purchase option are required to be included in the minimum lease payments. Otherwise, minimum lease payments include all of the following:

The minimum rental payments called for by the lease over the lease term.

Any guarantee of the residual value at the expiration of the lease term, whether or not payment of the guarantee constitutes a purchase of the leased property or of rental payments beyond the lease term by the lessee (including a third party related to the lessee) or a third party unrelated to either the lessee or the lessor, provided the third party is financially capable of discharging the obligations that may arise from the guarantee. If the lessor has the right to require the lessee to purchase the property at termination of the lease for a certain or determinable amount, that amount is required to be considered a lessee guarantee of the residual value. If the lessee agrees to make up any deficiency below a stated amount in the lessor's realization of the residual value, the residual value guarantee to be included in the minimum lease payments is required to be the stated amount, rather than an estimate of the deficiency to be made up.

Any payment that the lessee must make or can be required to make upon failure to renew or extend the lease at the expiration of the lease term, whether or not the payment would constitute a purchase of the leased property. Note that the definition of lease term includes all periods, if any, for which failure to renew the lease imposes a

penalty on the lessee in an amount such that renewal appears, at lease inception, to be reasonably assured. If the lease term has been extended because of that provision, the related penalty is not included in minimum lease payments.

Payments made before the beginning of the lease term. The lessee is required to use the same interest rate to accrete payments to be made before the beginning of the lease term that it uses to discount lease payments to be made during the lease term.

Fees that are paid by the lessee to the owners of the special-purpose entity for structuring the lease transaction. Such fees are required to be included as part of minimum lease payments (but not included in the fair value of the leased property).

Lease payments that depend on a factor directly related to the future use of the leased property, such as machine hours of use or sales volume during the lease term, are contingent rentals and, accordingly, are excluded from minimum lease payments in their entirety. However, lease payments that depend on an existing index or rate, such as the Consumer Price Index or the prime interest rate, are required to be included in minimum lease payments based on the index or rate existing at lease inception; any increases or decreases in lease payments that result from subsequent changes in the index or rate are contingent rentals and, thus, affect the determination of income as accruable.

Minimum Premium Plan Arrangement

[Glossary Term Usage](#) | See Topic(s): [965](#)

In a minimum premium plan arrangement, specified benefits are paid by the insurance entity. The insurance contract establishes a dollar limit, or trigger point. All claims paid by the insurance entity below the trigger point are reimbursed by the plan to the insurance entity. The insurance entity is not reimbursed for benefits incurred that exceed the trigger point. This type of funding arrangement requires the plan to fund the full claims experience up to the trigger point. Minimum premium plan arrangements may have characteristics of both self-funded and fully insured experience-rated arrangements.

Minimum Revenue Guarantee

[Glossary Term Usage](#) | See Topic(s): [460](#)

A guarantee granted to a business or its owners that the revenue of the business (or a specific portion of the business) for a specified period of time will be at least a specified minimum amount.

Mining Assets

[Glossary Term Usage](#) | See Topic(s): [930](#)

Mining assets include mineral properties and rights.

Mining Entities

[Glossary Term Usage](#) | See Topic(s): [930](#)

Mining entities include entities involved in finding and removing wasting natural resources (other than oil- and gas-producing entities that are within the scope of Topic [932](#)).

Modification

[Glossary Term Usage](#) | See Topic(s): [718](#)

A change in the terms or conditions of a share-based payment award.

Monetary Assets

[Glossary Term Usage](#) | See Topic(s): [220](#) , [255](#) , [805](#) , [832](#) , [845](#) , [958](#)

Money or a claim to receive a sum of money the amount of which is fixed or determinable without reference to future prices of specific goods or services.

Monetary Assets and Liabilities

[Glossary Term Usage](#) | See Topic(s): [845](#)

Monetary assets and liabilities are assets and liabilities whose amounts are fixed in terms of units of currency by contract or otherwise. Examples are cash, short- or long-term accounts and notes receivable in cash, and short- or long-term accounts and notes payable in cash.

Monetary Liability

[Glossary Term Usage](#) | See Topic(s): [255](#) , [842](#)

An obligation to pay a sum of money the amount of which is fixed or determinable without reference to future prices of specific goods and services.

Monetary Value

[Glossary Term Usage](#) | See Topic(s): [480](#)

What the fair value of the cash, shares, or other instruments that a financial instrument obligates the issuer to convey to the holder would be at the settlement date under specified market conditions.

Money-Over-Money Lease

[Glossary Term Usage](#) | See Topic(s): [860](#)

A transaction in which an entity manufactures or purchases an asset, leases the asset to a lessee, and obtains nonrecourse financing in excess of the asset's cost using the leased asset and the future lease rentals as collateral.

Morbidity



[Glossary Term Usage](#) | See Topic(s): [944](#)

The relative incidence of disability due to disease or physical impairment.

Mortality



[Glossary Term Usage](#) | See Topic(s): [715](#) , [944](#)

The relative incidence of death in a given time or place.

Mortality Rate



[Glossary Term Usage](#) | See Topic(s): [715](#)

The proportion of the number of deaths in a specified group to the number living at the beginning of the period in which the deaths occur. Actuaries use mortality tables, which show death rates for each age, in estimating the amount of pension benefits that will become payable.

Mortality Risk



[Glossary Term Usage](#) | See Topic(s): [944](#)

The obligation to make payments that are contingent upon the death or continued survival of a specific individual or group.

Mortgage Banking Entity



[Glossary Term Usage](#) | See Topic(s): [948](#)

An entity that is engaged primarily in originating, marketing, and servicing real estate mortgage loans for other than its own account. Mortgage banking entities, as local representatives of institutional lenders, act as correspondents between lenders and borrowers.

Mortgage Guaranty Insurance Entity



[Glossary Term Usage](#) | See Topic(s): [944](#)

An insurance entity that issues insurance contracts that guarantee lenders, such as savings and loan associations, against nonpayment by mortgagors.

Mortgage-Backed Securities



[Glossary Term Usage](#) | See Topic(s): [948](#)

Securities issued by a governmental agency or corporation (for example, Government National Mortgage Association [GNMA] or Federal Home Loan Mortgage Corporation [FHLMC]) or by private issuers (for example, Federal National Mortgage Association [FNMA], banks, and mortgage banking entities). Mortgage-backed securities generally are referred to as mortgage participation certificates or pass-through certificates. A participation certificate represents an undivided interest in a pool of specific mortgage loans. Periodic payments on GNMA participation certificates are backed by the U.S. government. Periodic payments on FHLMC and FNMA certificates are guaranteed by those corporations, but are not backed by the U.S. government.

Most Advantageous Market



[Glossary Term Usage](#) | See Topic(s): [820](#) , [948](#) , [958](#)

The market that maximizes the amount that would be received to sell the asset or minimizes the amount that would be paid to transfer the liability, after taking into account transaction costs and transportation costs.

Motion Picture Films



[Glossary Term Usage](#) | See Topic(s): [255](#)

All types of film, including feature films, television specials, television series, or similar products (including animated films and television programming) that are sold, licensed, or exhibited, whether produced on film, video tape, digital, or other video recording format.

Multiemployer Plan



[Glossary Term Usage](#) | See Topic(s): [220](#) , [715](#)

A pension or postretirement benefit plan to which two or more unrelated employers contribute, usually pursuant to one or more collective-bargaining agreements. A characteristic of multiemployer plans is that assets contributed by one participating employer may be used to provide benefits to employees of other participating employers since assets contributed by an employer are not segregated in a separate account or restricted to provide benefits only to employees of that employer. A multiemployer plan is usually administered by a board of trustees composed of management and labor representatives and may also be referred to as a joint trust or union plan. Generally, many employers participate in a multiemployer plan, and an employer may participate in more

than one plan. The employers participating in multiemployer plans usually have a common industry bond, but for some plans the employers are in different industries and the labor union may be their only common bond. Some multiemployer plans do not involve a union. For example, local chapters of a not-for-profit entity (NFP) may participate in a plan established by the related national organization.

Multiple-Employer Plan

[Glossary Term Usage](#) | See Topic(s): [715](#)

A pension plan or other postretirement benefit plan maintained by more than one employer but not treated as a multiemployer plan. Multiple-employer plans are generally not collectively bargained and are intended to allow participating employers, commonly in the same industry, to pool their plan assets for investment purposes and to reduce the cost of plan administration. A multiple-employer plan maintains separate accounts for each employer so that contributions provide benefits only for employees of the contributing employer. Multiple-employer plans may have features that allow participating employers to have different benefit formulas, with the employer's contributions to the plan based on the benefit formula selected by the employer.

Mutual Entity

[Glossary Term Usage](#) | See Topic(s): [350](#) , [805](#)

An entity other than an investor-owned entity that provides dividends, lower costs, or other economic benefits directly and proportionately to its owners, members, or participants. Mutual insurance entities, credit unions, and farm and rural electric cooperatives are examples of mutual entities.

MVA

NO INCOMING LINKS

See [Market Value Annuity](#).
